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China Financials | Asia Pacific

Good GDP growth but no rebound in bond yield; what's implication for China financials?

Key Takeaways

- Nominal GDP growth has improved notably, supported by strong export growth and PPI returning to positive levels, however, bond yields have not rebounded.
- Our meetings with banks shows two key factors for stable bond yields...
- ...1) ample liquidity from solid export growth and more dollar-to-RMB conversion by exports; and 2) seasonally slow loan growth after a strong 1Q26.
- Continued liquidity withdrawals from PBOC also signals policymakers' intention to keep stable financial asset yields.
- We continue to expect some rebound in financial asset yields with reduced PPI pressure, which is also evidenced in stabilizing new loan yields in 1Q26.

Our conversation with banks shows that they view current government bond yields are at a good level to take some profits, as they focus on trading the market to generate gains.

Nevertheless, we continue to expect a gradual rebound in financial asset yields despite some near-term volatility, as China's financial sector returns to a positive development loop with a refocus on risk-based loan pricing and moderating deflation pressure, evidenced in: 1) stable new loan pricing in 1Q26 with sequential NIM rebound at most banks we cover; and 2) a faster-than-expected reduction in industrial credit risk based on recent data.

In addition, we believe gradual stabilization of China's property market will be another key catalyst for improving financial asset yields over the next two years, which will support further revenue and income growth improvement for domestic financial sectors, as well as a further sector re-rating. Ningbo remains our Top Pick, and we see good performance at Big 4 SOE banks and CITIC Bank H-shares.

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CHINA FINANCIALS

Asia Pacific

Industry View

Attractive

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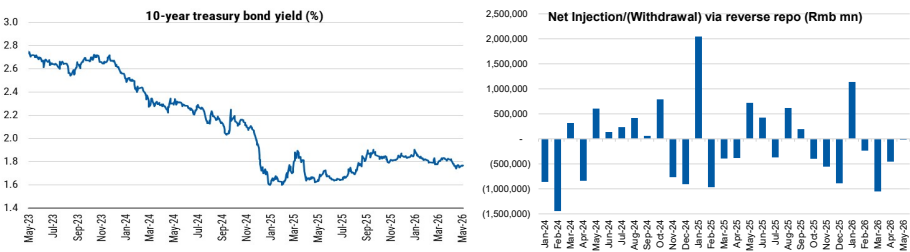
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Charts

Exhibit 1: Government bond yields have declined recently. We see liquidity withdrawal from PBOC.



Source: PBOC, CEIC, Morgan Stanley Research

Valuation Methodology and Risks

Bank of Ningbo Co. Ltd (002142.SZ)

We continue to use a three-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear. The discount rate is 11.4% in the base case, and we assume 13.5% for second-stage and 13% for long-term ROE with a 61% dividend payout ratio in the long run. Our price target implies 2026E P/B of 1.2x.

Risks to Upside

- Noticeable reduction in policy intervention amid a rapid rebound in business fundamentals.
- Better-than-expected NIM and asset quality.
- Higher-than-expected non-interest income from stronger wealth management business revenue.

Risks to Downside

- Risks from potential change in leadership.
- Higher default risks from SME and retail business expansion.
- Pricing pressure from destructive competition in the market.

China CITIC Bank Corporation Limited (0998.HK)

We continue to use a 3-stage dividend discount model, probability-weighted 60% base, 20% bull, 20% bear. The discount rate is 10.0% in the base case, and we assume 9.2% for second-stage and 9.0% for long-term ROE, with a 40% long-term dividend payout ratio. We apply a 1.13 RMB/HKD exchange rate for our H-share price target. We also apply a 10% discount in deriving our target P/B for the H-shares.

Risks to Upside

- Faster-than-expected fee growth.
- Better-than-expected asset quality.
- Noticeable reduction in policy intervention.

Risks to Downside

- Asset quality could deteriorate if economic trends worsen.
- Unexpected decrease/slowdown in fee income.
- Social responsibilities continue to weigh in.

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(as of April 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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Stock Price, Price Target and Rating History (See Rating Definitions)

Bank of Ningbo Co. Ltd (002142.SZ) - As of 05/11/26 GMT in CNY
Industry : China Financials



Stock Rating History: 5/1/21 : NA/A; 8/17/22 : 0/A

Price Target History: 8/17/22 : 40; 9/19/22 : 40.2; 5/12/23 : 44.4; 9/28/23 : 35.8; 12/13/23 : 30.5; 6/5/24 : 34.3; 2/26/25 : 39.2; 4/16/25 : 35.6; 8/5/25 : 41.1; 3/18/26 : 45

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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China CITIC Bank Corporation Limited (0998.HK) - As of 05/11/26 GMT in HKD
Industry : China Financials



Stock Rating History: 5/1/21 : 0/A; 5/20/22 : U/A; 5/12/23 : E/A; 4/16/25 : 0/A

Price Target History: 10/19/20 : 4.5; 5/20/21 : 5.3; 5/20/22 : 3.6; 9/19/22 : 2.4; 5/12/23 : 4.9; 9/28/23 : 4.1; 12/13/23 : 3.7; 6/5/24 : 4.5; 2/26/25 : 6.2; 4/16/25 : 7.3; 8/5/25 : 9.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: China Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/08/2026)
Chiyao Huang		

China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$21.46
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb15.92
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$13.88
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$27.12
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb26.95
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb20.49
Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$144.59
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$8.37
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.84
GF Securities (000776.SZ)	E (08/07/2025)	Rmb20.96
GF Securities (1776.HK)	E (01/06/2023)	HK\$17.41
HTSC (601688.SS)	E (09/23/2024)	Rmb19.11
HTSC (6886.HK)	E (09/23/2024)	HK\$16.40
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.90
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.94
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$6.95
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.27
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb18.87
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb5.68
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.11
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.23
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.70
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.79
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.05
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb8.26
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$8.34
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.76
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb9.69
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.12
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.12
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb37.94
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$47.24
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.69
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.57
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.81
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.66
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$6.92
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.46
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb17.73
Lufax (LU.N)		US\$1.95
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.30
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.10
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$13.15
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.07

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.